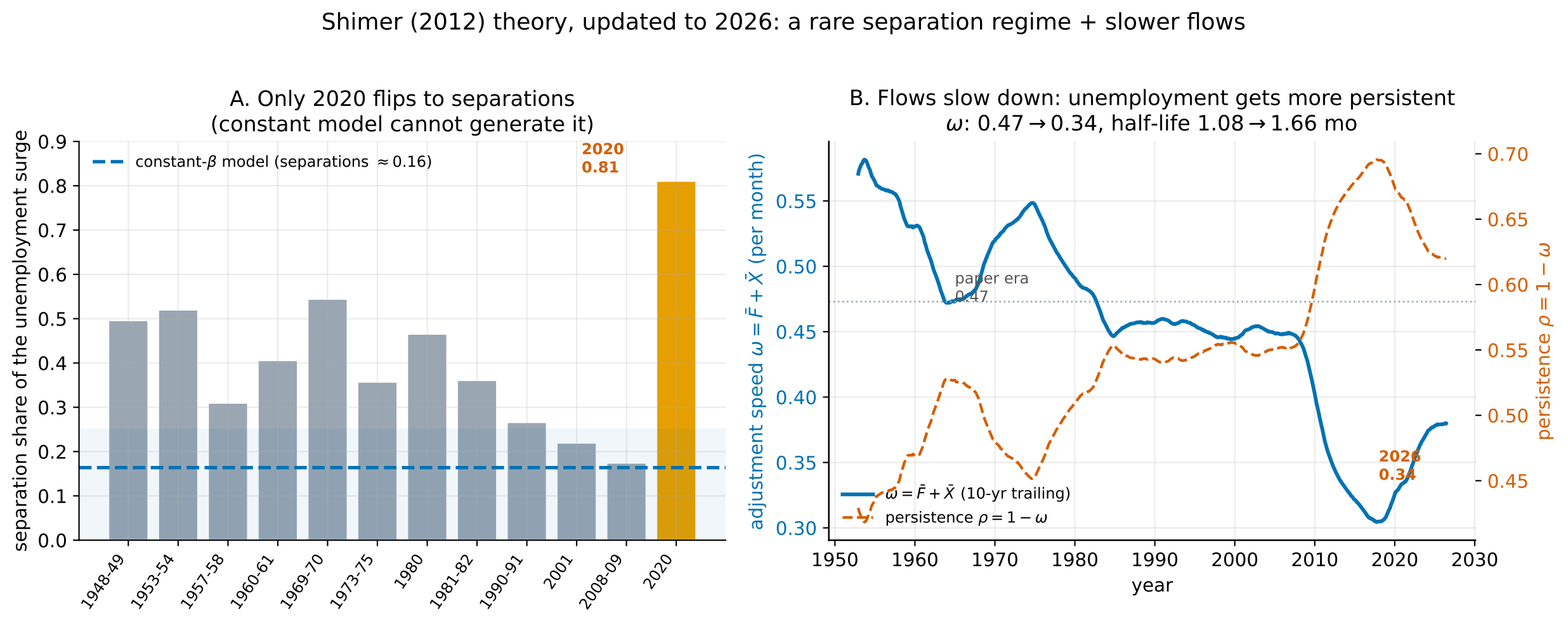
Shimer (2012) theory, updated to 2026: a rare separation regime + slower flows
A. Only 2020 flips to separations
(constant model cannot generate it)
separation share of the unemployment surge
constant-β model (separations ≈ 0.16)
2020
0.81
0.0
0.1
0.2
0.3
0.4
0.5
0.6
0.7
0.8
0.9
1948-49
1953-54
1957-58
1960-61
1969-70
1973-75
1980
1981-82
1990-91
2001
2008-09
2020
B. Flows slow down: unemployment gets more persistent
ω: 0.47 → 0.34, half-life 1.08 → 1.66 mo
adjustment speed ω = F̄ + X̄ (per month)
persistence ρ = 1 − ω
paper era
0.47
2026
0.34
ω = F̄ + X̄ (10-yr trailing)
persistence ρ = 1 − ω
0.30
0.35
0.40
0.45
0.50
0.55
0.45
0.50
0.55
0.60
0.65
0.70
1950
1960
1970
1980
1990
2000
2010
2020
2030
year